

COMMITTEE ON REGULATORY AFFAIRS AND GOVERNMENT EFFICIENCY
SENATE AMENDMENTS TO H.B. 2946
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 9-463.05, Arizona Revised Statutes, is amended
3 to read:

4 9-463.05. Development fees; imposition by cities and towns;
5 infrastructure improvements plan; annual report;
6 advisory committee; limitation on actions;
7 definitions

8 A. A municipality may assess development fees to offset costs to
9 the municipality associated with providing necessary public services to a
10 development, including the costs of infrastructure, improvements, real
11 property, engineering and architectural services, financing and
12 professional services required for the preparation or revision of a
13 development fee pursuant to this section, including the relevant portion
14 of the infrastructure improvements plan.

15 B. Development fees assessed by a municipality under this section
16 are subject to the following requirements:

17 1. Development fees shall result in a beneficial use to the
18 development.

19 2. The municipality shall calculate the development fee based on
20 the infrastructure improvements plan adopted pursuant to this section.

21 3. The development fee shall not exceed a proportionate share of
22 the cost of necessary public services, based on service units, needed to
23 provide necessary public services to the development.

24 4. Costs for necessary public services made necessary by new
25 development shall be based on the same level of service provided to
26 existing development in the service area.

27 5. Development fees may not be used for any of the following:

1 (a) Construction, acquisition or expansion of public facilities or
2 assets other than necessary public services or facility expansions
3 identified in the infrastructure improvements plan.

4 (b) Repair, operation or maintenance of existing or new necessary
5 public services or facility expansions.

6 (c) Upgrading, updating, expanding, correcting or replacing
7 existing necessary public services to serve existing development in order
8 to meet stricter safety, efficiency, environmental or regulatory
9 standards.

10 (d) Upgrading, updating, expanding, correcting or replacing
11 existing necessary public services to provide a higher level of service to
12 existing development.

13 (e) Administrative, maintenance or operating costs of the
14 municipality.

15 6. Any development for which a development fee has been paid is
16 entitled to the use and benefit of the services for which the fee was
17 imposed and is entitled to receive immediate service from any existing
18 facility with available capacity to serve the new service units if the
19 available capacity has not been reserved or pledged in connection with the
20 construction or financing of the facility.

21 7. Development fees may be collected if any of the following
22 occurs:

23 (a) The collection is made to pay for a necessary public service or
24 facility expansion that is identified in the infrastructure improvements
25 plan and the municipality plans to complete construction and to have the
26 service available within the time period established in the infrastructure
27 ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period
28 provided in subsection ~~H~~ I, paragraph 3 of this section.

29 (b) The municipality reserves in the infrastructure improvements
30 plan adopted pursuant to this section or otherwise agrees to reserve
31 capacity to serve future development.

32 (c) The municipality requires or agrees to allow the owner of a
33 development to construct or finance the necessary public service or
34 facility expansion and any of the following ~~apply~~ APPLIES:

35 (i) The costs incurred or money advanced are credited against or
36 reimbursed from the development fees otherwise due from a development.

37 (ii) The municipality reimburses the owner for those costs from the
38 development fees paid from all developments that will use those necessary
39 public services or facility expansions.

40 (iii) For those costs incurred the municipality allows the owner to
41 assign the credits or reimbursement rights from the development fees
42 otherwise due from a development to other developments for the same
43 category of necessary public services in the same service area.

44 8. Projected interest charges and other finance costs may be
45 included in determining the amount of development fees only if the monies
46 are used for the payment of principal and interest on the portion of the
47 bonds, notes or other obligations issued to finance construction of

1 necessary public services or facility expansions identified in the
2 infrastructure improvements plan.

3 9. Monies received from development fees assessed pursuant to this
4 section shall be placed in a separate fund and accounted for separately
5 and may only be used for the purposes authorized by this section. Monies
6 received from a development fee identified in an infrastructure
7 improvements plan adopted or updated pursuant to subsection D of this
8 section shall be used to provide the same category of necessary public
9 services or facility expansions for which the development fee was assessed
10 and for the benefit of the same service area, as defined in the
11 infrastructure improvements plan, in which the development fee was
12 assessed. Interest earned on monies in the separate fund shall be
13 credited to the fund.

14 10. The schedule for payment of fees shall be provided by the
15 municipality. Based on the cost identified in the infrastructure
16 improvements plan, the municipality shall provide a credit toward the
17 payment of a development fee for the required or agreed to dedication of
18 public sites, improvements and other necessary public services or facility
19 expansions included in the infrastructure improvements plan and for which
20 a development fee is assessed, to the extent the public sites,
21 improvements and necessary public services or facility expansions are
22 provided by the developer. The developer of residential dwelling units
23 shall be required to pay development fees when construction permits for
24 the dwelling units are issued, or at a later time if specified in a
25 development agreement pursuant to section 9-500.05. If a development
26 agreement provides for fees to be paid at a time later than the issuance
27 of construction permits, the deferred fees shall be paid no later than
28 fifteen days after the issuance of a certificate of occupancy. The
29 development agreement shall provide for the value of any deferred fees to
30 be supported by appropriate security, including a surety bond, letter of
31 credit or cash bond.

32 11. If a municipality requires as a condition of development
33 approval the construction or improvement of, contributions to or
34 dedication of any facilities that were not included in a previously
35 adopted infrastructure improvements plan, the municipality shall cause the
36 infrastructure improvements plan to be amended to include the facilities
37 and shall provide a credit toward the payment of a development fee for the
38 construction, improvement, contribution or dedication of the facilities to
39 the extent that the facilities will substitute for or otherwise reduce the
40 need for other similar facilities in the infrastructure improvements plan
41 for which development fees were assessed.

42 12. The municipality shall forecast the contribution to be made in
43 the future in cash or by taxes, fees, assessments or other sources of
44 revenue derived from the property owner towards the capital costs of the
45 necessary public service covered by the development fee and shall include
46 these contributions in determining the extent of the burden imposed by the
47 development. ~~Beginning August 1, 2014,~~ For purposes of calculating the
48 required offset to development fees pursuant to this subsection, if a

1 municipality imposes a construction contracting or similar excise tax rate
2 in excess of the percentage amount of the transaction privilege tax rate
3 imposed on the majority of other transaction privilege tax
4 classifications, the entire excess portion of the construction contracting
5 or similar excise tax shall be treated as a contribution to the capital
6 costs of necessary public services provided to development for which
7 development fees are assessed, unless the excess portion was already taken
8 into account for such purpose pursuant to this subsection.

9 13. If development fees are assessed by a municipality, the fees
10 shall be assessed against commercial, residential and industrial
11 development. ~~, except that~~ The municipality may distinguish between
12 different categories of residential, commercial and industrial development
13 in assessing the costs to the municipality of providing necessary public
14 services to new development and in determining the amount of the
15 development fee applicable to the category of development, ~~EXCEPT THAT THE~~
16 ~~MUNICIPALITY MAY NOT DISTINGUISH BETWEEN SINGLE-FAMILY RESIDENTIAL~~
17 ~~DEVELOPMENTS ON THE BASIS OF THE SIZE OF THE RESIDENTIAL DWELLING UNIT OR~~
18 ~~NUMBER OF BEDROOMS~~. If a municipality agrees to waive any of the
19 development fees assessed on a development, the municipality shall
20 reimburse the appropriate development fee accounts for the amount that was
21 waived. The municipality shall provide notice of any such waiver to the
22 advisory committee established pursuant to subsection ~~H~~ H of this section
23 within thirty days.

24 14. In determining and assessing a development fee applying to land
25 in a community facilities district established under title 48, chapter 4,
26 article 6, the municipality shall take into account all public
27 infrastructure provided by the district and capital costs paid by the
28 district for necessary public services and shall not assess a portion of
29 the development fee based on the infrastructure or costs.

30 C. A municipality shall give at least thirty days' advance notice
31 of intention to assess a development fee and shall release to the public
32 and post on its website or the website of an association of cities and
33 towns if a municipality does not have a website a written report of the
34 land use assumptions and infrastructure improvements plan adopted pursuant
35 to subsection D of this section. The municipality shall conduct a public
36 hearing on the proposed development fee at any time after the expiration
37 of the thirty day notice of intention to assess a development fee and at
38 least thirty days before the scheduled date of adoption of the fee by the
39 governing body. Within sixty days after the date of the public hearing on
40 the proposed development fee, a municipality shall approve or disapprove
41 the imposition of the development fee. A municipality shall not adopt an
42 ordinance, order or resolution approving a development fee as an emergency
43 measure. A development fee assessed pursuant to this section shall not be
44 effective until seventy-five days after its formal adoption by the
45 governing body of the municipality. Nothing in this subsection shall
46 affect any development fee adopted before July 24, 1982.

47 D. Before the adoption or amendment of a development fee, the
48 governing body of the municipality shall adopt or update the land use

1 assumptions and infrastructure improvements plan for the designated
2 service area. The municipality shall conduct a public hearing on the land
3 use assumptions and infrastructure improvements plan at least thirty days
4 before the adoption or update of the plan. The municipality shall release
5 the plan to the public, post the plan on its website or the website of an
6 association of cities and towns if the municipality does not have a
7 website, including in the posting its land use assumptions, the time
8 period of the projections, a description of the necessary public services
9 included in the infrastructure improvements plan and a map of the service
10 area to which the land use assumptions apply, make available to the public
11 the documents used to prepare the assumptions and plan and provide public
12 notice at least sixty days before the public hearing, subject to the
13 following:

14 1. The land use assumptions and infrastructure improvements plan
15 shall be approved or disapproved within sixty days after the public
16 hearing on the land use assumptions and infrastructure improvements plan
17 and at least thirty days before the public hearing on the report required
18 by subsection C of this section. A municipality shall not adopt an
19 ordinance, order or resolution approving the land use assumptions or
20 infrastructure improvements plan as an emergency measure.

21 2. An infrastructure improvements plan shall be developed by
22 qualified professionals using generally accepted engineering and planning
23 practices pursuant to subsection E of this section.

24 3. A municipality shall update the land use assumptions and
25 infrastructure improvements plan at least every five years. The initial
26 five year period begins on the day the infrastructure improvements plan is
27 adopted. The municipality shall review and evaluate its current land use
28 assumptions and shall cause an update of the infrastructure improvements
29 plan to be prepared pursuant to this section.

30 4. Within sixty days after completion of the updated land use
31 assumptions and infrastructure improvements plan, the municipality shall
32 schedule and provide notice of a public hearing to discuss and review the
33 update and shall determine whether to amend the assumptions and plan.

34 5. A municipality shall hold a public hearing to discuss the
35 proposed amendments to the land use assumptions, the infrastructure
36 improvements plan or the development fee. The land use assumptions and
37 the infrastructure improvements plan, including the amount of any proposed
38 changes to the development fee per service unit, shall be made available
39 to the public on or before the date of the first publication of the notice
40 of the hearing on the amendments.

41 6. The notice and hearing procedures prescribed in paragraph 1 of
42 this subsection apply to a hearing on the amendment of land use
43 assumptions, an infrastructure improvements plan or a development fee.
44 Within sixty days after the date of the public hearing on the amendments,
45 a municipality shall approve or disapprove the amendments to the land use
46 assumptions, infrastructure improvements plan or development fee. A
47 municipality shall not adopt an ordinance, order or resolution approving

1 the amended land use assumptions, infrastructure improvements plan or
2 development fee as an emergency measure.

3 7. The advisory committee established under subsection ~~G~~ H of this
4 section shall file its written comments on any proposed or updated land
5 use assumptions, infrastructure improvements plan and development fees
6 before the fifth business day before the date of the public hearing on the
7 proposed or updated assumptions, plan and fees.

8 8. If, at the time an update as prescribed in paragraph 3 of this
9 subsection is required, the municipality determines that no changes to the
10 land use assumptions, infrastructure improvements plan or development fees
11 are needed, the municipality may as an alternative to the updating
12 requirements of this subsection publish notice of its determination on its
13 website and include the following:

14 (a) A statement that the municipality has determined that no change
15 to the land use assumptions, infrastructure improvements plan or
16 development fee is necessary.

17 (b) A description and map of the service area in which an update
18 has been determined to be unnecessary.

19 (c) A statement that by a specified date, which shall be at least
20 sixty days after the date of publication of the first notice, a person may
21 make a written request to the municipality requesting that the land use
22 assumptions, infrastructure improvements plan or development fee be
23 updated.

24 (d) A statement identifying the person or entity to whom the
25 written request for an update should be sent.

26 9. If, by the date specified pursuant to paragraph 8 of this
27 subsection, a person requests in writing that the land use assumptions,
28 infrastructure improvements plan or development fee be updated, the
29 municipality shall cause, accept or reject an update of the assumptions
30 and plan to be prepared pursuant to this subsection.

31 10. Notwithstanding the notice and hearing requirements for
32 adoption of an infrastructure improvements plan, a municipality may amend
33 an infrastructure improvements plan adopted pursuant to this section
34 without a public hearing if the amendment addresses only elements of
35 necessary public services in the existing infrastructure improvements plan
36 and the changes to the plan will not, individually or cumulatively with
37 other amendments adopted pursuant to this subsection, increase the level
38 of service in the service area or cause a development fee increase of
39 greater than five ~~per cent~~ PERCENT when a new or modified development fee
40 is assessed pursuant to this section. The municipality shall provide
41 notice of any such amendment at least thirty days before adoption, shall
42 post the amendment on its website or on the website of an association of
43 cities and towns if the municipality does not have a website and shall
44 provide notice to the advisory committee established pursuant to
45 subsection ~~G~~ H of this section that the amendment complies with this
46 subsection.

47 E. For each necessary public service that is the subject of a
48 development fee, the infrastructure improvements plan shall include:

1 1. A description of the existing necessary public services in the
2 service area and the costs to upgrade, update, improve, expand, correct or
3 replace those necessary public services to meet existing needs and usage
4 and stricter safety, efficiency, environmental or regulatory standards,
5 which shall be prepared by qualified professionals licensed in this state,
6 as applicable.

7 2. An analysis of the total capacity, the level of current usage
8 and commitments for usage of capacity of the existing necessary public
9 services, which shall be prepared by qualified professionals licensed in
10 this state, as applicable.

11 3. A description of all or the parts of the necessary public
12 services or facility expansions and their costs necessitated by and
13 attributable to development in the service area based on the approved land
14 use assumptions, including a forecast of the costs of infrastructure,
15 improvements, real property, financing, engineering and architectural
16 services, which shall be prepared by qualified professionals licensed in
17 this state, as applicable.

18 4. A table establishing the specific level or quantity of use,
19 consumption, generation or discharge of a service unit for each category
20 of necessary public services or facility expansions and an equivalency or
21 conversion table establishing the ratio of a service unit to various types
22 of land uses, including residential, commercial and industrial.

23 5. The total number of projected service units necessitated by and
24 attributable to new development in the service area based on the approved
25 land use assumptions and calculated pursuant to generally accepted
26 engineering and planning criteria.

27 6. The projected demand for necessary public services or facility
28 expansions required by new service units for a period not to exceed ten
29 years.

30 7. A forecast of revenues generated by new service units other than
31 development fees, which shall include estimated state-shared revenue,
32 highway ~~users~~ **USER** revenue, federal revenue, ad valorem property taxes,
33 construction contracting or similar excise taxes and the capital recovery
34 portion of utility fees attributable to development based on the approved
35 land use assumptions, and a plan to include these contributions in
36 determining the extent of the burden imposed by the development as
37 required in subsection B, paragraph 12 of this section.

38 F. A municipality's development fee ordinance shall provide that a
39 new development fee or an increased portion of a modified development fee
40 ~~shall not be assessed against a development for twenty-four months after~~
41 ~~the date that the municipality issues the final approval for a commercial,~~
42 ~~industrial or multifamily development or the date that the first building~~
43 ~~permit is issued for a residential development pursuant to an approved~~
44 ~~site plan or subdivision plat, provided that no subsequent changes are~~
45 ~~made to the approved site plan or subdivision plat that would increase the~~
46 ~~number of service units.~~ **A RESIDENTIAL, COMMERCIAL, INDUSTRIAL OR**
47 **MULTIFAMILY DEVELOPMENT FOR TWENTY-FOUR MONTHS AFTER THE EFFECTIVE DATE OF**
48 **THE DEVELOPMENT FEE ORDINANCE THAT IMPOSES A NEW OR INCREASED DEVELOPMENT**

1 FEE IF NO SUBSEQUENT CHANGES ARE MADE TO THE APPROVED SITE PLAN OR FINAL
2 SUBDIVISION PLAT THAT INCREASE THE NUMBER OF SERVICE UNITS. If the number
3 of service units increases, the new or increased portion of a modified
4 development fee shall be limited to the amount attributable to the
5 additional service units. The twenty-four month period shall not be
6 extended by a renewal or amendment of the site plan or the final
7 subdivision plat that was the subject of the final approval.

8 G. The municipality shall issue, on request, a written statement of
9 the development fee schedule applicable to the development. If, after the
10 date of the municipality's final approval of a development, the
11 municipality reduces the development fee assessed on development, the
12 reduced fee shall apply to the development.

13 ~~G.~~ H. A municipality shall do one of the following:

14 1. Before the adoption of proposed or updated land use assumptions,
15 infrastructure improvements plan and development fees as prescribed in
16 subsection D of this section, the municipality shall appoint an
17 infrastructure improvements advisory committee, subject to the following
18 requirements:

19 (a) The advisory committee shall be composed of at least five
20 members who are appointed by the governing body of the municipality. At
21 least fifty ~~per cent~~ PERCENT of the members of the advisory committee must
22 be representatives of the real estate, development or building industries,
23 of which at least one member of the committee must be from the home
24 building industry. Members shall not be employees or officials of the
25 municipality.

26 (b) The advisory committee shall serve in an advisory capacity and
27 shall:

28 (i) Advise the municipality in adopting land use assumptions and in
29 determining whether the assumptions are in conformance with the general
30 plan of the municipality.

31 (ii) Review the infrastructure improvements plan and file written
32 comments.

33 (iii) Monitor and evaluate implementation of the infrastructure
34 improvements plan.

35 (iv) Every year file reports with respect to the progress of the
36 infrastructure improvements plan and the collection and expenditures of
37 development fees and report to the municipality any perceived inequities
38 in implementing the plan or imposing the development fee.

39 (v) Advise the municipality of the need to update or revise the
40 land use assumptions, infrastructure improvements plan and development
41 fee.

42 (c) The municipality shall make available to the advisory committee
43 any professional reports with respect to developing and implementing the
44 infrastructure improvements plan.

45 (d) The municipality shall adopt procedural rules for the advisory
46 committee to follow in carrying out the committee's duties.

47 2. In lieu of creating an advisory committee pursuant to paragraph
48 1 of this subsection, provide for a biennial certified audit of the

1 municipality's land use assumptions, infrastructure improvements plan and
2 development fees. An audit pursuant to this paragraph shall be conducted
3 by one or more qualified professionals who are not employees or officials
4 of the municipality and who did not prepare the infrastructure
5 improvements plan. The audit shall review the progress of the
6 infrastructure improvements plan, including the collection and
7 expenditures of development fees for each project in the plan, and
8 evaluate any inequities in implementing the plan or imposing the
9 development fee. The municipality shall post the findings of the audit on
10 the municipality's website or the website of an association of cities and
11 towns if the municipality does not have a website and shall conduct a
12 public hearing on the audit within sixty days of the release of the audit
13 to the public.

14 ~~H.~~ I. On written request, an owner of real property for which a
15 development fee has been paid after July 31, 2014 is entitled to a refund
16 of a development fee or any part of a development fee if:

17 1. Pursuant to subsection B, paragraph 6 of this section, existing
18 facilities are available and service is not provided.

19 2. The municipality has, after collecting the fee to construct a
20 facility when service is not available, failed to complete construction
21 within the time period identified in the infrastructure improvements plan,
22 but in no event later than the time period specified in paragraph 3 of
23 this subsection.

24 3. For a development fee other than a development fee for water or
25 wastewater facilities, any part of the development fee is not spent as
26 authorized by this section within ten years after the fee has been paid
27 or, for a development fee for water or wastewater facilities, any part of
28 the development fee is not spent as authorized by this section within
29 fifteen years after the fee has been paid.

30 ~~I.~~ J. If the development fee was collected for the construction of
31 all or a portion of a specific item of infrastructure, and on completion
32 of the infrastructure the municipality determines that the actual cost of
33 construction was less than the forecasted cost of construction on which
34 the development fee was based and the difference between the actual and
35 estimated cost is greater than ten ~~percent~~ PERCENT, the current owner may
36 receive a refund of the portion of the development fee equal to the
37 difference between the development fee paid and the development fee that
38 would have been due if the development fee had been calculated at the
39 actual construction cost.

40 ~~J.~~ K. A refund shall include any interest earned by the
41 municipality from the date of collection to the date of refund on the
42 amount of the refunded fee. All refunds shall be made to the record owner
43 of the property at the time the refund is paid. If the development fee is
44 paid by a governmental entity, the refund shall be paid to the
45 governmental entity.

46 ~~K.~~ L. A development fee that was adopted before January 1, 2012
47 may continue to be assessed only to the extent that it will be used to
48 provide a necessary public service for which development fees can be

1 assessed pursuant to this section and shall be replaced by a development
2 fee imposed under this section on or before August 1, 2014. Any
3 municipality having a development fee that has not been replaced under
4 this section on or before August 1, 2014 shall not collect development
5 fees until the development fee has been replaced with a fee that complies
6 with this section. Any development fee monies collected before January 1,
7 2012 remaining in a development fee account:

8 1. Shall be used towards the same category of necessary public
9 services as authorized by this section.

10 2. If development fees were collected for a purpose not authorized
11 by this section, shall be used for the purpose for which they were
12 collected on or before January 1, 2020, and after which, if not spent,
13 shall be distributed equally among the categories of necessary public
14 services authorized by this section.

15 ~~L.~~ M. A moratorium shall not be placed on development for the sole
16 purpose of awaiting completion of all or any part of the process necessary
17 to develop, adopt or update development fees.

18 ~~M.~~ N. In any judicial action interpreting this section, all powers
19 conferred on municipal governments in this section shall be narrowly
20 construed to ensure that development fees are not used to impose on new
21 residents a burden all taxpayers of a municipality should bear equally.

22 ~~N.~~ O. Each municipality that assesses development fees shall
23 submit an annual report accounting for the collection and use of the fees
24 for each service area. The annual report shall include the following:

25 1. The amount assessed by the municipality for each type of
26 development fee.

27 2. The balance of each fund maintained for each type of development
28 fee assessed as of the beginning and end of the fiscal year.

29 3. The amount of interest or other earnings on the monies in each
30 fund as of the end of the fiscal year.

31 4. The amount of development fee monies used to repay:

32 (a) Bonds issued by the municipality to pay the cost of a capital
33 improvement project that is the subject of a development fee assessment,
34 including the amount needed to repay the debt service obligations on each
35 facility for which development fees have been identified as the source of
36 funding and the time frames in which the debt service will be repaid.

37 (b) Monies advanced by the municipality from funds other than the
38 funds established for development fees in order to pay the cost of a
39 capital improvement project that is the subject of a development fee
40 assessment, the total amount advanced by the municipality for each
41 facility, the source of the monies advanced and the terms under which the
42 monies will be repaid to the municipality.

43 5. The amount of development fee monies spent on each capital
44 improvement project that is the subject of a development fee assessment
45 and the physical location of each capital improvement project.

46 6. The amount of development fee monies spent for each purpose
47 other than a capital improvement project that is the subject of a
48 development fee assessment.

1 ~~P.~~ P. Within ninety days following the end of each fiscal year,
2 each municipality shall submit a copy of the annual report to the city
3 clerk and post the report on the municipality's website or the website of
4 an association of cities and towns if the municipality does not have a
5 website. Copies shall be made available to the public on request. The
6 annual report may contain financial information that has not been audited.

7 ~~P.~~ Q. A municipality that fails to file the report and post the
8 report on the municipality's website or the website of an association of
9 cities and towns if the municipality does not have a website as required
10 by this section shall not collect development fees until the report is
11 filed and posted.

12 ~~R.~~ R. Any action to collect a development fee shall be commenced
13 within two years after the obligation to pay the fee accrues.

14 ~~R.~~ S. A municipality may continue to assess a development fee
15 adopted before January 1, 2012 for any facility that was financed before
16 June 1, 2011 if:

17 1. Development fees were pledged to repay debt service obligations
18 related to the construction of the facility.

19 2. After August 1, 2014, any development fees collected under this
20 subsection are used solely for the payment of principal and interest on
21 the portion of the bonds, notes or other debt service obligations issued
22 before June 1, 2011 to finance construction of the facility.

23 ~~S.~~ T. Through August 1, 2014, a development fee adopted before
24 January 1, 2012 may be used to finance construction of a facility and may
25 be pledged to repay debt service obligations if:

26 1. The facility that is being financed is a facility that is
27 described under subsection ~~T~~ V, paragraph 7, subdivisions (a) through ~~(g)~~
28 (e) of this section.

29 2. The facility was included in an infrastructure improvements plan
30 adopted before June 1, 2011.

31 3. The development fees are used for the payment of principal and
32 interest on the portion of the bonds, notes or other debt service
33 obligations issued to finance construction of the necessary public
34 services or facility expansions identified in the infrastructure
35 ~~improvement~~ IMPROVEMENTS plan.

36 U. A MUNICIPALITY MAY ASSESS DEVELOPMENT FEES ~~[FOR WATER AND~~
37 ~~WASTEWATER NECESSARY PUBLIC SERVICES] ON THE DEVELOPMENT OF [A DETACHED]~~
38 ~~ACCESSORY DWELLING [UNIT IF THE ADDITION OF ONE OR MORE DETACHED ACCESSORY~~
39 ~~DWELLING UNITS WOULD HAVE REQUIRED INSTALLING A LARGER UTILITY METER HAD~~
40 ~~THE ADDITIONAL ACCESSORY DWELLING UNIT OR UNITS BEEN CONSTRUCTED~~
41 ~~CONCURRENTLY WITH THE PRIMARY DWELLING UNIT WITH A SHARED UTILITY~~
42 ~~METER. THE PROPORTIONATE SHARE OF THE DEVELOPMENT FEE FOR WATER AND~~
43 ~~WASTEWATER SHALL BE THE DIFFERENCE BETWEEN THE CURRENT FEE PER METER SIZE~~
44 ~~FOR THE PRIMARY DWELLING UNIT AND THE LARGER SIZE THAT IS NECESSARY TO~~
45 ~~ACCOMMODATE THE DEVELOPMENT OF THE DETACHED ACCESSORY DWELLING UNIT OR~~
46 ~~UNITS. THE TOTAL DEVELOPMENT FEES ASSESSED ON THE DEVELOPMENT OF A~~
47 ~~DETACHED ACCESSORY DWELLING UNIT FOR ALL NECESSARY PUBLIC SERVICES OTHER~~
48 ~~THAN WATER AND WASTEWATER SHALL NOT EXCEED THE LESSER OF TWENTY PERCENT OF~~

~~1 THE TOTAL DEVELOPMENT FEES FOR THOSE SAME NECESSARY PUBLIC SERVICES~~
~~2 APPLICABLE TO A SINGLE-FAMILY HOME OR THE DETACHED ACCESSORY DWELLING~~
~~3 UNIT'S PROPORTIONATE SHARE OF THOSE FEES AS PRESCRIBED BY SUBSECTION B,~~
~~4 PARAGRAPH 3 OF THIS SECTION. FOR THE PURPOSES OF THIS SUBSECTION,~~
~~5 "ACCESSORY DWELLING UNIT" HAS THE SAME MEANING PRESCRIBED IN SECTION~~
~~6 9-461.18.] [UNITS, AS FOLLOWS:~~
7 1. FOR WATER AND WASTEWATER, THE WATER AND WASTEWATER DEVELOPMENT
8 FEES ASSESSED FOR SUCH ACCESSORY DWELLING UNIT SHALL NOT EXCEED THE
9 INCREMENTAL INCREASE IN DEMAND CAUSED BY THE DEVELOPMENT OF EACH ACCESSORY
10 DWELLING UNIT WHETHER SERVED BY THE SAME WATER METER AS THE PRIMARY
11 DWELLING OR BY A SEPARATE WATER METER.
12 2. FOR DEVELOPMENT FEES ASSESSED ON THE DEVELOPMENT OF AN ACCESSORY
13 DWELLING UNIT FOR ALL NECESSARY PUBLIC SERVICES OTHER THAN WATER AND
14 WASTEWATER, THE DEVELOPMENT FEES ASSESSED FOR SUCH ACCESSORY DWELLING UNIT
15 SHALL NOT EXCEED THE LESSER OF TWENTY-FIVE PERCENT OF THE TOTAL
16 DEVELOPMENT FEES OR THE PROPORTIONATE SHARE FOR THOSE SAME NECESSARY
17 PUBLIC SERVICES APPLICABLE TO A SINGLE-FAMILY HOME.]
18 ~~V.~~ V. For the purposes of this section:
19 1. "Dedication" means the actual conveyance date or the date an
20 improvement, facility or real or personal property is placed into service,
21 whichever occurs first.
22 2. "Development" means:
23 (a) The subdivision of land.
24 (b) The construction, reconstruction, conversion, structural
25 alteration, relocation or enlargement of any structure that adds or
26 increases the number of service units.
27 (c) Any use or extension of the use of land that increases the
28 number of service units.
29 3. "Facility expansion" means the expansion of the capacity of an
30 existing facility that serves the same function as an otherwise new
31 necessary public service in order that the existing facility may serve new
32 development. Facility expansion does not include the repair, maintenance,
33 modernization or expansion of an existing facility to better serve
34 existing development.
35 4. "Final approval" means:
36 (a) For a nonresidential or multifamily development, the approval
37 of a site plan or, if no site plan is submitted for the development, the
38 approval of a final subdivision plat.
39 (b) For a single family residential development, the approval of a
40 final subdivision plat.
41 5. "Infrastructure improvements plan" means a written plan that
42 identifies each necessary public service or facility expansion that is
43 proposed to be the subject of a development fee and otherwise complies
44 with the requirements of this section, and may be the municipality's
45 capital improvements plan.
46 6. "Land use assumptions" means projections of changes in land
47 uses, densities, intensities and population for a specified service area

1 over a period of at least ten years and pursuant to the general plan of
2 the municipality.

3 7. "Necessary public service" means any of the following facilities
4 that have a life expectancy of three or more years and that are owned and
5 operated by or on behalf of the municipality:

6 (a) Water facilities, including the supply, transportation,
7 treatment, purification and distribution of water, and any appurtenances
8 for those facilities.

9 (b) Wastewater facilities, including collection, interception,
10 transportation, treatment and disposal of wastewater, and any
11 appurtenances for those facilities.

12 (c) ~~Storm water~~ STORMWATER, drainage and flood control facilities,
13 including any appurtenances for those facilities.

14 (d) Library facilities of up to ten thousand square feet that
15 provide a direct benefit to development, not including equipment, vehicles
16 or appurtenances.

17 (e) Street facilities located in the service area, including
18 arterial or collector streets or roads that have been designated on an
19 officially adopted plan of the municipality, traffic signals and
20 rights-of-way and improvements thereon.

21 (f) Fire and police facilities, including all appurtenances,
22 equipment and vehicles. Fire and police facilities do not include a
23 facility or portion of a facility that is used to replace services that
24 were once provided elsewhere in the municipality, vehicles and equipment
25 used to provide administrative services, helicopters or airplanes or a
26 facility that is used for training firefighters or officers from more than
27 one station or substation.

28 (g) Neighborhood parks and recreational facilities on real property
29 up to thirty acres in area, or parks and recreational facilities larger
30 than thirty acres if the facilities provide a direct benefit to the
31 development. Park and recreational facilities do not include vehicles,
32 equipment or that portion of any facility that is used for amusement
33 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
34 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
35 clubhouses, community centers greater than three thousand square feet in
36 floor area, environmental education centers, equestrian facilities, golf
37 course facilities, greenhouses, lakes, museums, theme parks, water
38 reclamation or riparian areas, wetlands, zoo facilities or similar
39 recreational facilities, but may include swimming pools.

40 (h) Any facility that was financed and that meets all of the
41 requirements prescribed in subsection ~~R~~ S of this section.

42 8. "Qualified professional" means a professional engineer,
43 surveyor, financial analyst or planner providing services within the scope
44 of the person's license, education or experience.

45 9. "Service area":

46 (a) Means any specified area within the boundaries of a
47 municipality in which development will be served by necessary public
48 services or facility expansions and within which a substantial nexus

1 exists between the necessary public services or facility expansions and
2 the development being served as prescribed in the infrastructure
3 improvements plan.

4 (b) INCLUDES THE SERVICE TERRITORY OF WATER OR WASTEWATER
5 FACILITIES, WHETHER INSIDE OR OUTSIDE OF THE BOUNDARIES OF THE
6 MUNICIPALITY, IF THE MUNICIPALITY PROVIDES WATER AND WASTEWATER SERVICES.

7 10. "Service unit" means a standardized measure of consumption,
8 use, generation or discharge attributable to an individual unit of
9 development calculated pursuant to generally accepted engineering or
10 planning standards for a particular category of necessary public services
11 or facility expansions.

12 Sec. 2. Section 9-499.15, Arizona Revised Statutes, is amended to
13 read:

14 9-499.15. Proposed new or increased municipal taxes and fees;
15 notification; exceptions

16 A. A municipality may not levy or assess any new taxes or fees or
17 increase existing taxes or fees pursuant to statute on a business without
18 complying with this section.

19 B. A municipality that proposes to levy or assess a tax or fee
20 shall:

21 1. Prepare a schedule of the proposed new or increased tax or fee
22 that includes the amount of the tax or fee and a written report or data
23 that supports the new or increased tax or fee. A copy of the report or
24 data shall be filed in the office of the clerk of the municipality.

25 2. If the proposed tax or fee is a new charge, provide written
26 notice of the proposed charge, the schedule of the proposed new charge and
27 the written report or data that supports the new charge on the home page
28 of the municipality's website at least sixty days before the date the
29 proposed new tax or fee is approved or rejected by the governing body of
30 the municipality.

31 3. If the municipality proposes to increase the rate of an existing
32 tax or fee on a business, provide written notice of the proposed increase,
33 the schedule of the proposed increased tax or fee and the written report
34 or data that supports the proposed increased tax or fee on the home page
35 of the municipality's website at least sixty days before the date the
36 proposed new rate is approved or rejected by the governing body of the
37 municipality.

38 4. Prepare a notice of intent to establish or increase taxes,
39 assessments or fees, including assessments levied pursuant to section
40 48-572, subsection B, paragraph 2. The notice of intent shall include the
41 date, time and place of the meeting of the governing body of the
42 municipality in which the proposed new or increased tax or fee will be
43 considered and a statement that a schedule of the proposed new or
44 increased tax or fee that includes the amount of the tax or fee and a
45 written report or data that supports the new or increased tax or fee is
46 available on the municipality's website. The notice of intent shall be
47 posted on the municipality's website at least fifteen days before the date
48 the proposed new or increased tax or fee will be approved or rejected by

1 the governing body of the municipality. If the municipality uses social
2 media or other electronic communication tools, the notice of intent shall
3 be distributed through the municipality's social media accounts or other
4 electronic communication tools.

5 C. At least seventy-five days before the date a municipality
6 proposes an ordinance to adopt or repeal a model or local option in the
7 model city tax code, the municipality shall request from the department of
8 revenue a list of all taxpayers within the municipality in the affected
9 tax classification. At least sixty days before the date the proposed
10 ordinance is approved or rejected by the governing body of the
11 municipality, the municipality shall notify by mail all taxpayers in the
12 affected tax classification of the proposed ordinance.

13 D. Subsection C of this section does not apply to ordinances that
14 do either of the following:

15 1. Impose a use tax or a model or local option to exempt a city or
16 town from use tax.

17 2. Impose a two-tiered tax rate structure for retail sales.

18 E. All departments, boards or other subdivisions of a municipality
19 that are authorized to establish or modify taxes or fees shall follow the
20 notice requirements prescribed in subsection B of this section before the
21 date of the entity's consideration of the new or increased tax or fee.

22 F. Technological issues that either prevent the posting of the
23 notice on the municipality's website or distribution of the notice through
24 social media or other electronic communication tools do not preclude the
25 governing body of the municipality from approving or rejecting the new or
26 increased tax or fee at the meeting provided on the notice of intent.

27 G. A municipality shall demonstrate that the taxes or fees are
28 imposed pursuant to statute.

29 H. Subsections A and B of this section do not apply to:

30 1. Any fee adopted pursuant to section 9-463.05.

31 2. Water and wastewater rates, FEES or rate components THAT ARE
32 ADOPTED PURSUANT TO SECTION 9-511.01.

33 3. Fees for registration-based classes, programs or activities
34 provided by the municipality.

35 4. Court fees established pursuant to state law.

36 5. Fees or charges established pursuant to federal law for public
37 housing or other federally funded programs.

38 6. Other fees whose amounts are set by state or federal law.

39 I. If information is made available relating to the fees provided
40 in subsection H of this section, that information shall be posted on the
41 municipality's website and, if the municipality uses social media or other
42 electronic communication tools, distributed through social media or other
43 electronic communication tools.

44 J. In addition to any other limitation that may be imposed by law,
45 a municipality shall not levy or impose an assessment, fee or tax on
46 hospital revenues, discharges, beds or services for the purpose of
47 receiving services or payments pursuant to title 36, chapter 29.

1 Sec. 3. Section 9-511.01, Arizona Revised Statutes, is amended to
2 read:

3 9-511.01. Water and wastewater business; rates; procedures;
4 responsibility for payments

5 A. A municipality engaging in a domestic water or wastewater
6 business shall not increase any water or wastewater rate or rate
7 component, fee or service charge without complying with the following:

8 1. Prepare a written report or supply data supporting the increased
9 rate or rate component, fee or service charge. The report or supporting
10 data shall include cash flow projections that indicate all anticipated
11 revenues from residential and nonresidential customers and the overall
12 expenses for providing water or wastewater service. A copy of the report
13 and cash flow projections shall be made available to the public by filing
14 a copy in the office of the clerk of the municipality governing board and
15 posting the report and cash flow projections on the municipality's website
16 or the website of an association of cities and towns if the municipality
17 does not have a website at least thirty days before the public hearing
18 described in paragraph 2 of this subsection.

19 2. Adopt a notice of intention by motion at a regular council
20 meeting to increase water or wastewater rates or rate components, fees or
21 service charges and set a date for a public hearing on the proposed
22 increase that shall be held at least sixty days after adoption of the
23 notice of intention. A copy of the notice of intention showing the date,
24 time and place of the hearing shall be published one time in a newspaper
25 of general circulation within the boundaries of the municipality not less
26 than twenty days before the public hearing date.

27 3. FOR THE PORTION OF A WATER OR WASTEWATER FEE THAT IS ADOPTED OR
28 INCREASED AFTER DECEMBER 31, 2026 TO FUND CAPITAL IMPROVEMENTS TO WATER OR
29 WASTEWATER FACILITIES THAT SERVE NEW GROWTH, ADOPT GROWTH-RELATED FEES AS
30 PRESCRIBED BY SECTION 9-463.05.

31 B. After holding the public hearing, the governing body may adopt,
32 by ordinance or resolution, the proposed rate or rate component, fee or
33 service charge increase or any lesser increase.

34 C. Notwithstanding section 19-142, subsection B, the increased rate
35 or rate component, fee or service charge shall become effective thirty
36 days after adoption of the ordinance or resolution.

37 D. Any proposed water or wastewater rate or rate component, fee or
38 service charge adjustment or increase shall be just and reasonable.

39 E. Rates and charges demanded or received by municipalities for
40 water and wastewater service shall be just and reasonable. Every unjust
41 or unreasonable rate or charge demanded or received by a municipality is
42 prohibited and unlawful.

43 F. A municipality may not assess or collect a fee on new water or
44 wastewater service connections at the time of the establishment of service
45 to those connections for the purpose of recovering the municipality's
46 costs of acquiring, whether by purchase or by eminent domain, the utility
47 plant, facilities, system or other property of a public service
48 corporation or another municipality engaged in the business of providing

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1 water or wastewater service. This subsection does not apply to water or
2 wastewater fees adopted before January 1, 2016 or to water or wastewater
3 fees included in a notice of intent to adopt or increase water or
4 wastewater rates and fees adopted before January 1, 2016.

5 G. For residential property of four or fewer units, a municipality
6 shall not require payment of unpaid water and wastewater service rates and
7 charges by anyone other than the person who the municipality has
8 contracted with to provide the service, who physically resides or resided
9 at the property and who receives or received the service. A property
10 owner, an immediate family member of the person who does not reside at the
11 property or any other entity, at its sole discretion, may contract for
12 water and wastewater service with a municipality and shall provide
13 payment.

14 H. For residential property of four or fewer units, a municipality
15 shall not refuse service within the municipality's service area for the
16 unpaid water and wastewater rates and charges to anyone other than the
17 person who physically resided and received the service at the property. A
18 property owner, at the owner's sole discretion, may contract for water and
19 wastewater service with a municipality and shall provide payment for that
20 service.

21 Enroll and engross to conform

22 Amend title to conform

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